Balance Sheet as on 31st December, 2016

Liabilities	₹	₹	Assets	₹	₹
Capital	1,31,500		Investments		70,000
Add: Net profit	69,170		Stock in trade		1,30,000
	2,00,670		Sundry debtors	60,000	
Less: Drawings	5,000	1,95,670	Less: Provision for bad and doubtful debts (60,000 x 5/100)	3,000	
6% Loan	20,000			57,000	
Add: Interest outstanding	900	20,900	Less: Provision for discount on debtors (57,000 x 2/100)	1,140	55,860
Sundry creditors		40,000	Petty cash		710
		2,56,570			2,56,570

Illustration 15

Given below are the balances of Pandian as on 31st March, 2016.

Particulars	Debit ₹	Credit ₹
Capital		1,20,000
Sundry debtors and creditors	22,000	22,500
Sales		59,700
Drawings	2,000	
Cash in hand	8,200	
Cash at bank	30,000	
Wages	2,500	
Purchases	10,000	
Opening stock	30,000	
Business premises	60,000	
Bills receivable	14,500	
Office telephone expenses	3,500	
General expenses	9,000	
Goodwill	10,500	
	2,02,200	2,02,200

Adjustments:

(a) The stock value at the end of the accounting period was ₹ 5,000

(b) Interest on capital at 6% is to be provided

(c) Interest on drawing at 5% is to be provided

(d) Write off bad debts amounting to ₹ 2,000

(e) Create provision for bad and doubtful debts on sundry debtors @ 10%

Prepare final accounts for the year ended 31st March, 2016.

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